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SCHOOL OF GLOBAL AND INTERNATIONAL STUDIES

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INTL 522: Global Development

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How do societies become wealthy?



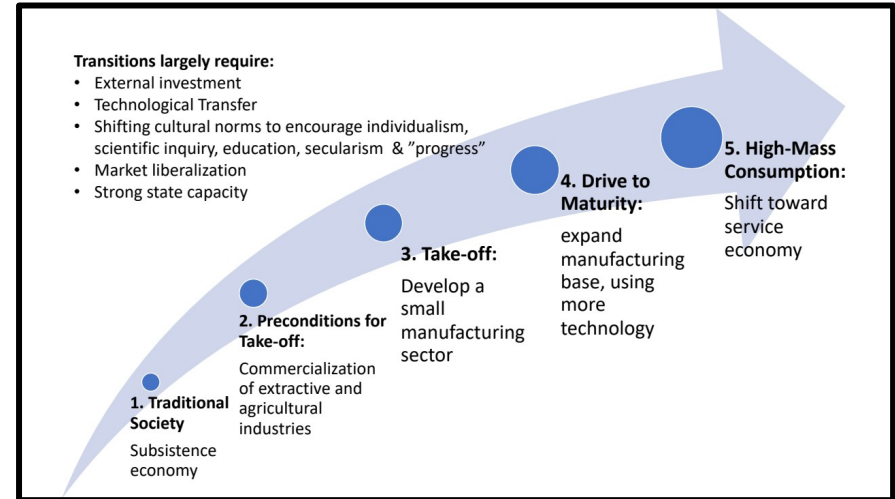
Possible Long Duree Answers

1. **Domestic Conditions?:** Institutions, Culture, Demography, war, State Capacity
2. **International Conditions?:** historical legacies of slavery and colonialism, globalization, foreign aid
3. **Geographic Conditions?:** Climate, terrain, disease burden



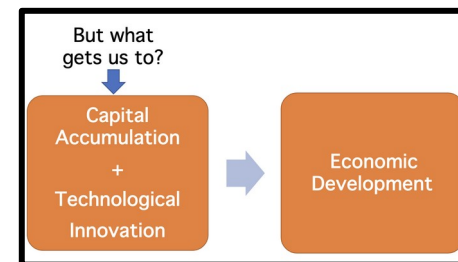
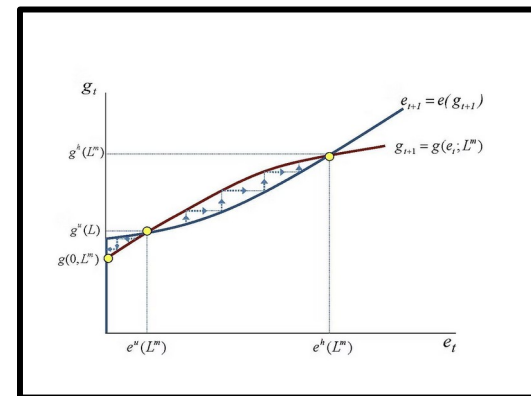
“Classical” Theory/Assumptions

1. Capital Accumulation
2. Requires “Modernization”
3. “Modernization” happens in stages in which societies shift from traditional structures (kin networks, artisanal production, traditional values) to modern structures (strong states, market production, individual values)



What Do Economic Growth Models Tell Us?

Model	Key Components	Long-Term Growth	Technological Progress
Solow-Swan	Capital, Labor, decreasing returns to scale	Does not explain	Exogenous
Endogenous Growth	Total Factor Productivity, Capital, Labor, flexible returns to scale	Sustained	Endogenous
Unified Growth Theory	Land (captures institutions), Capital, Labor. Focused on change in pop size	Explains transitions between multiple equilibria	Endogenous



Your Causal Chain to Fill Out



Geography and Development - Mechanisms to Discuss

1. Tropical Disadvantage: disease environment and agricultural productivity
2. Natural Barriers to Economic Exchange: terrain and trade costs
3. Eurasian Advantage: endowments and technology
4. Resource Curse

** We should also discuss what geography does a good job of explaining and where it falls short **





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GLOBALLY **READY**